

DRAWDOWN . TRADING

HOW TO TRADE

Nobody can teach you to make money. What can be taught is how not to lose it while you learn.

WHERE THIS BOOK STARTS

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Risk warning. Trading leveraged products such as CFDs and spread bets carries a high risk of losing money rapidly. The majority of retail investor accounts lose money when trading these products. You should consider whether you understand how they work and whether you can afford to take the high risk of losing your money.

Not advice. This book is educational material only. It is not investment advice, a personal recommendation, a solicitation to trade, or a promise of any outcome. Nothing here accounts for your personal circumstances, objectives or financial position. All figures are illustrative. Rules, regulations, broker terms and tax treatment vary by jurisdiction and change over time — always verify current information with the relevant authority and consider taking regulated financial or tax advice before acting.

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TOOLKIT

A–H Order Type Reference · Position Sizing Tables · Pre-Trade Checklist · Trading Plan Worksheet · Journal Template · 90-Day Tracker · Broker Assessment Checklist · Glossary

How to use this book

This book has one job: to take you from knowing nothing to placing your first live trade at a sensible size, with a written plan behind it and a realistic understanding of what you're doing. It is deliberately sequential. Skipping ahead to the strategy chapters is the single most common beginner mistake, and it's the reason most people's trading careers are measured in weeks.

Read it in order — once

Parts I and II are knowledge: what markets are, how trades work, how to read a chart. Part III is mechanics: orders, risk, strategy, plan, psychology, journal. Part IV is the transition to real money and the honest assessment of what you're getting into. Read all four parts before you fund anything. It will take a few hours. Those hours are the cheapest tuition you will ever pay.

Then use it as a reference

Once you're trading, this stops being a book you read and becomes a book you open — the order type reference, the position sizing tables, the pre-trade checklist, the journal template. The Toolkit at the back is designed to be printed and used in ink.

DRAWDOWN INSIGHT

Three callouts appear throughout. **Insights** (gold) are the mental shifts that take most people years to arrive at. **Warnings** (red) are the mistakes that cost real money — most of them are made in the first month. **Frameworks** (green) are step-by-step processes you can use immediately.

What this book will not do

- **It will not give you signals or trade ideas.** Anyone selling those is selling you dependency, not skill.
- **It will not promise you an income.** Nobody honest can, and this book is going to be relentlessly honest with you — see Chapter 18 in particular.
- **It will not recommend a specific broker, platform or product.** It will teach you how to assess them yourself, which is more useful and lasts longer.
- **It will not make you profitable in 90 days.** It will make you competent, unlikely to blow up, and correctly positioned to become profitable if you keep going.

One rule before you start

Do not put real money at risk until you reach Chapter 16. Not a small amount, not "just to see". Everything before that chapter exists to stop you making expensive, avoidable, entirely predictable mistakes — and every one of those mistakes is cheaper to read about than to make.

What Drawdown is

Drawdown is a UK trading education platform built on a simple, unfashionable premise: that most people who lose money trading were failed by their education long before they were failed by the market.

The retail trading space has a content problem. It is saturated with material optimised for engagement rather than accuracy — screenshots without context, strategies without risk parameters, timelines that would embarrass anyone who has actually done this. The result is a steady supply of beginners who know a dozen chart patterns and nothing about position sizing.

Drawdown exists to teach the other part. Risk before entries. Process before profit. Records before opinions.

The name

A drawdown is the decline from a peak in your account to the low that follows. It ends trading careers, and almost nobody wants to talk about it. Naming the platform after it was deliberate — a permanent reminder of what the job actually is. You do not manage profits. You manage losses. Profits are what's left over.

The standards we hold ourselves to

These apply to everything Drawdown publishes, including this book:

STANDARD	WHAT IT MEANS IN PRACTICE
No fabricated statistics	Every figure is either sourced, or clearly labelled as illustrative. We do not invent pass rates, success rates or industry data to make a point land harder.
No income claims	We will never tell you what you could earn. Nobody honest can, and the people who do are selling something other than education.
No signals	We don't sell trade ideas or alerts. They create dependency, not skill, and dependency is worth more to the seller than to you.
No fake urgency	No countdown timers, no invented scarcity, no "only three spots left."
Risk stated plainly	The majority of retail accounts lose money. We say so repeatedly, including inside the products we're asking you to pay for.
Disclosure	Where we hold a commercial relationship with a company we mention, we say so at the point we mention it.

If you ever find Drawdown material that breaks one of those standards, we'd genuinely like to know. An education business that won't be corrected isn't an education business.

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Who wrote this – and who didn't

My name is Pete Currey. I'm a business builder based in Chesterfield, Derbyshire, and I've spent more than twenty years founding and running companies across facilities management, industrial distribution and digital. I also trade my own capital, and I hold a funded account with a proprietary trading firm.

What I am not is a trading guru, and I want that established on page one rather than discovered later. I don't sell signals. I don't post screenshots of winning trades. I'm not going to tell you what I make, because unverifiable income claims are exactly the thing that makes this industry so difficult to trust — and because the number wouldn't help you anyway.

Why a businessman wrote a trading book

Because trading is a business, and most trading education is written as though it's a skill in isolation. Twenty years of running companies teaches you a specific set of things: that the downside case is the one that kills you, that systems beat heroics, that you measure what you actually did rather than what you meant to do, and that most failures are visible in the numbers long before they reach the bank account.

Every one of those transfers directly to a trading account. What struck me when I started trading seriously was how much of the available education skipped all of it — hours of content on entry patterns, almost nothing on the operational discipline that decides whether you're still solvent in year two.

What this book is built on

The same standards I'd apply to any business I run. Every claim is one I'd be comfortable defending. Where the honest answer is "this depends on your circumstances and you need a professional" — tax being the obvious example — the book says so rather than pretending to an authority it doesn't have.

And where the honest answer is uncomfortable, it's in here anyway. Chapter 18 is a full chapter on the real odds, the real timeline, and the signals that mean you should stop. No sensible marketing department would put it in a paid product. It's the most important chapter in the book.

WHAT I'M ACTUALLY CLAIMING

That I've built businesses for two decades, that I trade my own money and a funded account, and that I've assembled here the education I wish had existed when I started — accurate, sequenced and free of the nonsense.

That's the whole claim. Not that I've cracked the markets. Not that this will make you money. Assess the material on whether it's true and useful, which is the only standard that should ever have applied.

Disclosure: Drawdown holds affiliate relationships with certain companies in this sector, including the firm providing the founder's funded account. No such company is named, recommended or linked anywhere in this book.

The honest framing

You have almost certainly arrived here through an ecosystem designed to mislead you: screenshots of profits, rented cars, "I turned £500 into £50,000", courses promising financial freedom in ninety days. Before anything else, you need an accurate picture of what you are walking into — because a beginner with realistic expectations behaves completely differently from one with fantasies, and behaviour is what decides outcomes.

The single most important number

Regulated brokers in the UK and EU are legally required to publish the percentage of their retail clients who lose money. Go and look at any of them right now — the figure is displayed on their homepage. You will consistently find that the substantial majority of retail accounts lose money. Not a few. The majority.

That number is not a marketing trick or a discouragement tactic. It is a regulatory disclosure requirement, published reluctantly, by the very companies who profit from you trading. It is the most honest data point in the entire industry, and it should shape everything about how you approach this.

WARNING — WHAT THAT NUMBER MEANS FOR YOU

It does not mean trading is impossible. It means the default outcome is loss, and that avoiding the default requires deliberately doing things most participants do not do: managing risk, following a plan, keeping records, and being patient over a period measured in years. If you are not prepared to do those things, the honest advice is not to start.

Three expectations to reset now

WHAT YOU MAY BELIEVE	THE REALITY
"This can replace my income within a year."	Skill acquisition takes years, and income requires both skill and capital. A profitable trader with £2,000 is still a trader earning pocket money. Treat this as a skill you're building, not an income you're switching to.
"I need to find the right strategy."	Strategy is perhaps the fourth most important factor, behind risk management, discipline and consistency. Most people who fail had a perfectly workable strategy and destroyed it with position sizing and emotion.
"More screen time means faster progress."	Overtrading is the most expensive beginner habit there is. Progress comes from a small number of good decisions repeated and reviewed, not a large number of decisions made quickly.

What you actually need

Time — realistically a year or more before you should judge whether this is working. **Capital you can genuinely afford to lose** — money for rent, debt or dependents is disqualifying, full stop. **Temperament** — the ability to

follow rules when they are inconvenient and to be wrong repeatedly without needing to fix it immediately. If any of those three is missing, the missing piece is the thing to work on first.

If that's put you off, this book has already done its job and saved you money. If it hasn't, you're in the right frame of mind to actually learn something. Turn the page.

PART I — THE GROUND FLOOR • CHAPTER ONE

What Trading Actually Is

Where profit comes from, who is on the other side of your trade, and why "trading" and "investing" are two different activities that get confused constantly.

Trading versus investing

These words get used interchangeably and they should not be. **Investing** is buying an asset because you believe it will be worth more over years, and being paid for the risk of owning it — dividends from shares, rent from property, interest from bonds. Time is your ally: you can be wrong for two years and right in year five, and still do well.

Trading is taking a position on price movement over a much shorter horizon — minutes to weeks — usually with leverage, usually without owning the underlying asset, and with a defined exit planned before you enter. Time is not your ally. Costs accumulate, leverage magnifies error, and being wrong for two weeks can end the account.

Neither is superior. They are different activities requiring different skills, capital and temperament. This book is about trading. Much of the advice you'll encounter online mixes the two incoherently — "buy the dip and hold" is investing advice applied to a leveraged trading account, and it is how a great many accounts die.

Where does the profit actually come from?

This is the question almost no beginner asks, and it is the most important one in the book. If you make £500 on a trade, that £500 came from somewhere. Understanding where forces a level of realism that no amount of chart study will.

MARKET TYPE	WHERE YOUR PROFIT COMES FROM
Derivatives CFDs, spread bets, futures, options	Broadly a transfer between participants. For every leveraged position that gains, another party is on the other side of that exposure. This is close to a zero-sum activity before costs — and after costs, it is negative-sum for participants as a whole.
Equities owning actual shares	Not zero-sum over the long run: companies generate earnings, and the total value of the market can grow. This is why long-term investing has a structural tailwind that short-term trading does not.

DRAWDOWN INSIGHT — THE UNCOMFORTABLE IMPLICATION

In leveraged short-term trading, your profit is largely someone else's loss, minus the costs both of you pay. There is no economic tailwind carrying you. This is precisely why the majority of retail accounts lose: it is a competitive activity with a built-in cost drag, not a savings account with better returns.

Who is on the other side?

When you click buy, someone or something is taking the other side. It may be another retail trader. It may be your broker's own book. Very often it is an institutional participant: a bank hedging client flow, a fund rebalancing, or — increasingly — an algorithm operating on infrastructure that measures its speed advantage in microseconds and its research budget in millions.

You are not going to beat those participants at speed, information, or capital. That is not the game. What you can do — and what this entire book is built around — is compete on the one dimension where retail traders have a genuine structural advantage: **you are not obliged to trade**. A fund manager must deploy capital. A market maker

must quote. You can sit flat for a week, wait for the specific situation you understand well, and act only then. That optionality is your edge, and most beginners throw it away in their first month by trading constantly.

Long and short – the two directions

Every trade is one of two things. Going **long** means you profit if the price rises. Going **short** means you profit if the price falls. Derivatives make shorting as easy as going long — you are not borrowing and selling an asset, you are simply taking a position that gains as price declines.

This matters more than beginners expect. Markets spend a great deal of time falling, and falls are often faster and more violent than rises. A trader who only knows how to go long is idle or losing during a significant portion of all market conditions.

What a market actually is

Strip away the terminology and a market is a continuous auction. At any moment there is a highest price a buyer will pay and a lowest price a seller will accept. When they meet, a trade happens and a price is printed. That's it. Everything on your chart — every candlestick, every trend, every pattern — is a record of that auction over time.

This matters because it demystifies price. Price is not a number that "should" go somewhere. It is the current point of agreement between the buyers and sellers who are actually participating right now. When someone tells you a market is "overvalued", they are expressing an opinion about where agreement should be. The market is under no obligation to agree, and it can disagree for far longer than a leveraged account can survive.

BUYERS (BIDS)

1.2748 — 4.2m

1.2749 — 3.1m

1.2750 — 1.9m ← best bid

SELLERS (ASKS)

1.2751 — 2.1m ← best ask

1.2752 — 3.6m

1.2753 — 4.8m

THE SPREAD — the gap you pay to cross

FIG 1.1 — A SIMPLIFIED ORDER BOOK. BUYERS SIT BELOW, SELLERS SIT ABOVE, AND THE GAP BETWEEN THE BEST OF EACH IS THE SPREAD. EVERY TIME YOU ENTER A TRADE, YOU CROSS IT.

Why beginners lose – the short version

The full answer takes the rest of this book, but the short version belongs here, in chapter one, because it frames everything that follows. Beginners lose because they take positions that are too large relative to their account, without a predefined exit, based on a reason they cannot articulate precisely, in a market they have not studied, at a frequency far higher than their edge (if any) can support — and then, having lost, they increase size to recover it.

Notice that not one item in that list is "picked the wrong direction". Direction is roughly a coin flip for a beginner. What turns a coin flip into a guaranteed loss is **everything else**. That's the good news, incidentally: the things that kill beginners are all controllable.

Chapter 1 — What to take with you

- ☐ Trading and investing are different activities. Don't mix the advice.
- ☐ Short-term leveraged trading is close to zero-sum before costs, negative-sum after them. There's no tailwind carrying you.
- ☐ Your one structural edge over institutions is that you are never obliged to trade. Guard it.
- ☐ Direction is nearly a coin flip for beginners. Everything else is what decides the outcome.

02

PART I — THE GROUND FLOOR • CHAPTER TWO

The Markets You Can Trade

Forex, indices, commodities, shares, crypto and futures — what each one actually is, how it behaves, and which are realistic starting points.

Beginners typically choose a market for the worst possible reason: whichever one the video they watched was about. Markets have genuinely different personalities — different hours, different volatility, different costs, different drivers — and choosing one that suits your schedule and temperament matters more than most people realise.

The six markets, honestly assessed

MARKET	WHAT IT IS	CHARACTER
Forex currency pairs	The relative value of two currencies, e.g. GBP/USD. The largest market in the world by volume.	Open 24 hours, five days a week. Tight spreads on major pairs. Driven by interest rates and economic data. Deep and liquid, but crowded with sophisticated participants.
Indices FTSE, S&P, Nasdaq, DAX	A basket representing a whole stock market, traded as a single instrument.	Clear session structure. Trends well. Highly sensitive to macro news and sentiment. Often the most beginner-suitable in terms of behaviour, but requires respect for volatility around the cash open.
Commodities gold, oil, silver	Physical goods, traded via derivatives.	Gold responds to rates, the dollar and fear. Oil responds to supply, geopolitics and inventories. Both can move violently and gap. Higher volatility than most beginners are ready for.
Shares individual companies	Ownership stakes in a business, or derivatives on them.	Fixed exchange hours. Company-specific risk — an earnings release or announcement can gap a stock enormously overnight. Requires research beyond charts.
Crypto bitcoin, ethereum, others	Digital assets, traded spot or via derivatives.	24/7, extremely volatile, thinner liquidity outside the majors, and a materially different regulatory picture. Attracts beginners for exactly the reasons it is dangerous to them.
Futures exchange-traded contracts	Standardised contracts to trade an asset at a future date, on a regulated exchange.	Centralised pricing, transparent volume, no broker dealing desk on the other side. Higher capital requirements and contract specifications to learn.

WARNING — THE VOLATILITY TRAP

Beginners are drawn to the most volatile instruments because large moves look like large opportunity. They are equally large risk, and volatility is the single fastest way for an undersized account with an oversized position to be destroyed. Start with something that moves in a way you can study calmly.

Sessions – when markets actually move

Markets have a daily rhythm. Volume and volatility cluster in predictable windows, and trading outside those windows usually means paying spreads to watch nothing happen.

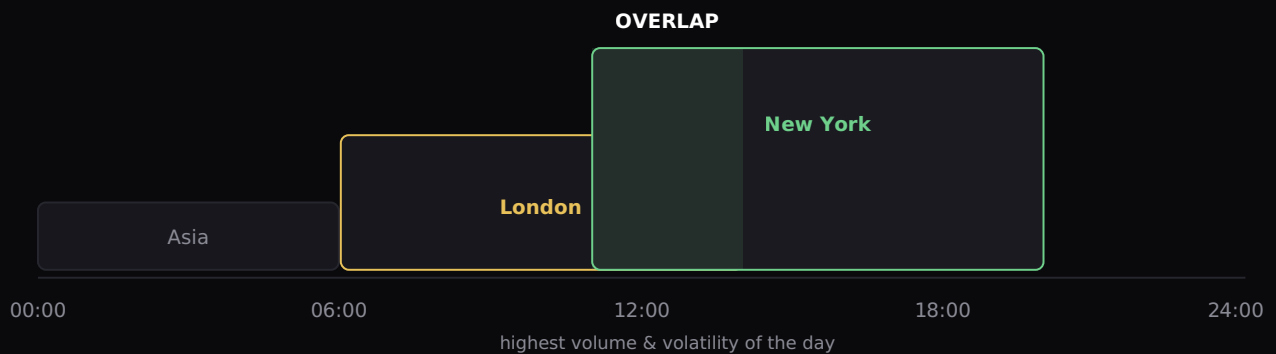


FIG 2.1 – APPROXIMATE SESSION STRUCTURE IN UK TIME. THE LONDON-NEW YORK OVERLAP IS WHERE THE MAJORITY OF DAILY VOLUME OCCURS IN FOREX AND MAJOR INDICES.

The practical implication: pick a session you can actually be present for, consistently, around your real life. A trader who can only watch the screen at 9pm should not be trading a market whose meaningful activity finished at 5pm. This single alignment decision saves more beginners than any indicator.

What to trade when you're starting

FRAMEWORK – CHOOSING YOUR FIRST MARKET

- 1. Match your schedule.** Which session can you attend reliably, three to five days a week? That determines your shortlist before anything else.
- 2. Prefer liquid majors.** A major currency pair or a major index. Tight spreads, deep liquidity, plenty of educational material, no company-specific gap risk.
- 3. Choose one. Then stop.** One instrument, studied properly for six months, will teach you more than six instruments watched casually. You are learning a personality, not a chart.
- 4. Avoid, for now:** exotic currency pairs (wide spreads), individual shares (overnight gap risk on news), the most volatile commodities, and low-liquidity crypto. None of these are permanently off-limits — they are simply the wrong place to make your first hundred mistakes.

Spread and cost by market

Costs vary enormously and matter more the shorter your holding period. A trader taking several trades a day on a wide-spread instrument may be paying more in costs annually than they could reasonably expect to make. Before you commit to an instrument, find out exactly what it costs you to enter and exit — in the currency of your account, not in abstract "pips" — and calculate what that means across a hundred trades. That number is often sobering, and it should be part of the decision.

Chapter 2 – What to take with you

- ☐ Markets have distinct personalities. Choose one that fits your schedule and temperament.
- ☐ Volatility is not opportunity for a beginner — it's accelerated risk.
- ☐ One liquid instrument, studied for months, beats six watched casually.
- ☐ Calculate your real cost per trade across 100 trades before committing.

03

PART I — THE GROUND FLOOR • CHAPTER THREE

How a Trade Actually Works

Bid, ask, spread, pips, points, lots, leverage, margin and the costs nobody explains until they've already been charged to your account.

This is the most technical chapter in the book and the most important to get right. Almost every catastrophic beginner loss traces back to a misunderstanding in these pages — usually leverage, usually discovered after the money has gone. Read it twice.

Bid, ask and the spread

Every instrument shows two prices. The **bid** is what you can sell at. The **ask** (or offer) is what you can buy at. The ask is always higher. The difference between them is the **spread**, and it is a cost you pay on every single trade.

The practical consequence surprises beginners: **every trade starts at a loss**. Buy at the ask and you can only immediately sell at the bid, which is lower. Before the market has moved at all, you are down by the spread. The market must move in your favour by at least the spread before you break even. On a tight major pair that's trivial; on a wide instrument taken twenty times a day, it's the whole difference between profit and loss.

Pips, points and ticks

TERM	WHERE USED	WHAT IT MEANS
Pip	Forex	Standard smallest quoted move on most pairs — the fourth decimal place. GBP/USD moving 1.2750 → 1.2751 is one pip. On yen pairs it's the second decimal place.
Point	Indices, shares	One unit of the index or price. The FTSE moving 8,200 → 8,201 is one point.
Tick	Futures	The smallest price increment the contract allows. Each contract has a defined tick size and tick value — you must look these up, they are not standard across instruments.

WARNING

Never assume a pip, point or tick value. Every instrument differs, and the value also depends on your position size and account currency. Getting this wrong is how people accidentally take a position ten times larger than intended. Check it in your platform, on the specific instrument, before you trade it.

Position size – lots, contracts and stakes

Your position size determines how much money each pip or point is worth to you. Different products express this differently: forex uses **lots** (a standard lot is 100,000 units of the base currency; a mini lot 10,000; a micro lot 1,000), futures use **contracts**, and spread betting uses a **stake per point**.

Spread betting is the most intuitive for beginners: you simply choose how much you win or lose per point of movement. £2 per point, and the market moves 30 points your way, is £60. The mechanism is transparent, which is why many UK beginners start there — though the underlying risk is identical to any other leveraged product.

Leverage – the concept that ends most accounts

Leverage lets you control a position far larger than your deposit. At 30:1, £1,000 of your money controls £30,000 of exposure. Brokers present this as capital efficiency. Understand it correctly: **leverage does not increase your opportunity, it increases the size of your position — and therefore magnifies both profit and loss identically.**

Here is what beginners miss. With £30,000 of exposure, a 3.3% move against you wipes out your entire £1,000. A 3.3% move is an ordinary Tuesday in most markets. Leverage doesn't make you money faster; it shortens the distance between you and zero.

£1,000 ACCOUNT · SAME 1% MARKET MOVE AGAINST YOU

No leverage · £1,000 exposure

—£10 · account —1%

5:1 · £5,000 exposure

—£50 · account —5%

30:1 · £30,000 exposure

—£300 · account —30%

The market moved 1% in all three cases. Only your position size changed.

FIG 3.1 — LEVERAGE DOES NOT CHANGE THE MARKET. IT CHANGES HOW MUCH OF YOUR ACCOUNT A NORMAL MARKET MOVE CONSUMES.

DRAWDOWN INSIGHT — REFRAME LEVERAGE ENTIRELY

Stop thinking of leverage as "how much I can trade" and start thinking of it as "how little room for error I have". Professionals frequently use a small fraction of available leverage. The availability of 30:1 is not a suggestion that you use it — it is a facility, and using it fully is the single most reliable way to lose your deposit quickly.

Margin, and what a margin call actually is

Margin is the deposit your broker requires to hold a leveraged position — not a fee, but your money set aside as collateral. If losses erode your account towards the point where the margin no longer covers the position, the broker issues a **margin call** (add funds) and, if the level falls further, will **close your positions automatically** to prevent further loss.

Two things beginners get wrong here. First, they treat available margin as spending power and open positions until it's exhausted, leaving no room for normal fluctuation. Second, they assume a margin close-out protects them from significant loss — it doesn't; it happens after most of the damage. UK and EU retail clients generally benefit from negative balance protection, meaning you shouldn't end up owing more than your deposit — but losing the entire deposit is entirely possible and remains the relevant risk. Verify what protections apply to your specific account and jurisdiction rather than assuming.

The costs, in full

COST	HOW IT HITS YOU
Spread	Paid on every trade, on entry. Widens during news and outside main session hours — often dramatically.
Commission	Charged by some account types instead of, or alongside, a tighter spread. Per trade or per lot.
Overnight financing swap / rollover	A daily charge (occasionally credit) for holding leveraged positions overnight, reflecting the cost of the borrowed exposure. Often tripled on one day of the week to account for the weekend. This quietly destroys longer-held leveraged positions.
Slippage	The gap between the price you expected and the price you got, in fast markets. Not a fee, but a real and recurring cost.
Currency conversion	If you trade instruments denominated in a currency other than your account's, conversion costs apply to your profits and losses.
Inactivity / data fees	Some brokers charge for dormancy or for live market data. Check before opening.

A worked example, end to end

You buy 1 mini lot of a major pair at 1.2751 (the ask) with a stop at 1.2721 and a target at 1.2811. Position size is roughly £0.80 per pip. Your stop is 30 pips away — approximately £24 of risk. Your target is 60 pips — approximately £48 of reward, a 2:1 ratio. The spread has already cost you around £1 on entry. If you hold overnight, financing applies. The trade either resolves at -£24ish or +£48ish, minus costs. That is the entire mechanical shape of a trade, and every trade you ever take is a variation of it.

Chapter 3 — What to take with you

- ☐ Every trade starts at a loss equal to the spread.
- ☐ Never assume pip, point or tick values. Verify per instrument, every time.
- ☐ Leverage magnifies loss identically to profit. It shortens the distance to zero.
- ☐ Know all six cost types before you fund an account — especially overnight financing.

PART I – THE GROUND FLOOR • CHAPTER FOUR

Brokers, Platforms & Account Types

How brokers actually make money, what regulation does and doesn't protect, spread betting versus CFDs, and how to assess a broker before you deposit.

Your broker is your counterparty, your execution venue and the custodian of your money. Beginners choose one based on an advert or a bonus offer. It deserves considerably more scrutiny than that — this is the single decision most likely to cause you a problem that has nothing to do with your trading.

How brokers make money from you

MODEL	WHAT IT MEANS FOR YOU
Spread and commission	The core, transparent revenue. You pay to cross the spread on every trade, and possibly a commission. Higher volume from you means more revenue for them — which is why platforms are designed to encourage frequent trading.
Overnight financing	Ongoing revenue from held positions.
Market making / internalisation	Many retail brokers take the other side of client trades rather than passing every order to the wider market. This is legal and disclosed, but it means the firm's book can benefit when clients lose. Understand your broker's model — it is in their documentation.
Order flow arrangements	In some jurisdictions and models, brokers receive compensation for routing orders. Practices and permissions vary by region — check what applies to yours.

DRAWDOWN INSIGHT

None of this makes brokers villains — they are businesses providing genuine infrastructure. But it does mean their commercial interest is in you trading **frequently**, which is not the same as you trading **well**. Every notification, streak badge and "markets are moving!" alert is engineered with that in mind. Treat the platform's encouragement as marketing, not as information.

Regulation – what it does and doesn't do

In the UK, firms offering these products to retail clients should be authorised by the Financial Conduct Authority. Regulation typically brings meaningful protections: client money held in segregated accounts, leverage caps for retail clients, negative balance protection, mandatory risk disclosures, access to the Financial Ombudsman Service, and potential eligibility under the Financial Services Compensation Scheme if the firm fails.

What regulation does not do is protect you from losing money by trading badly. It makes the venue fair and the firm accountable. It has no opinion on your position sizing.

WARNING – OFFSHORE ENTITIES

Firms sometimes operate multiple entities, offering higher leverage through an offshore arm with materially weaker protections. Higher leverage is the bait; the absence of recourse is the cost. Always verify which legal entity your account is actually with, and check its authorisation directly on the regulator's public register — not on the firm's own website. Take five minutes to do this properly before depositing anything.

Spread betting, CFDs and futures – the UK picture

PRODUCT	STRUCTURE	CONSIDERATIONS
Spread betting	A bet on price movement, staked per point. Available to UK residents.	Simple to size and understand. In the UK it has historically had a different tax treatment from other products — but treatment depends on your individual circumstances and can change, so verify with HMRC or a qualified accountant rather than relying on forum wisdom.
CFDs	A contract to exchange the difference in an asset's price between opening and closing.	Widely available, broad instrument range. Profits and losses fall within the normal tax framework — again, confirm your own position with a professional.
Futures	Exchange-traded standardised contracts.	Centralised, transparent pricing and volume. No broker on the other side of your trade. Requires more capital and knowledge of contract specifications.

Tax treatment of trading is genuinely individual and subject to change. Nothing in this book is tax advice. Speak to a qualified accountant before making decisions on this basis.

Demo accounts – use and limitations

Every broker offers a demo. You should use one extensively — Chapter 16 sets out exactly how. But understand its two limitations honestly. First, **demo fills are often better than live fills**: real slippage and rejections in fast markets aren't fully simulated. Second, and far more importantly, **demo removes the emotion**, which is the actual variable being tested. Demo proves your mechanics work. It cannot prove you'll follow your plan when it's your rent money.

Assessing a broker – the checklist

- ☐ Authorised by the relevant regulator — verified directly on the regulator's public register.
- ☐ I know exactly which legal entity my account is with, and in which jurisdiction.
- ☐ Client money segregation and negative balance protection confirmed in the terms.
- ☐ Full cost schedule understood: spreads, commissions, overnight financing, conversion, inactivity.
- ☐ Withdrawal process, timescales and any fees confirmed **before** depositing.
- ☐ Platform tested on demo, including on mobile, including during a volatile session.
- ☐ Instruments I intend to trade are available, with acceptable spreads at my session times.
- ☐ Support tested with a real pre-deposit question — and the answer was specific.

Platform basics

Whichever platform you use, find these six things before you place a trade: the order ticket, the instrument's contract specification, your position size field and its units, the stop loss and take profit fields, the account

summary showing balance/equity/margin, and the trade history. If you cannot locate all six confidently, you are not ready to place a live order — and the cost of learning the interface with real money is entirely avoidable.

Chapter 4 — What to take with you

- ☐ Your broker profits from your frequency. Their prompts are marketing, not signals.
- ☐ Verify authorisation on the regulator's register, and know which entity holds your account.
- ☐ Regulation protects the venue, not your position sizing.
- ☐ Demo proves mechanics, never discipline. Know what it can't test.

05

PART II — READING THE MARKET • CHAPTER FIVE

Charts & Candlesticks

How to actually read a price chart — what a candle tells you, what it doesn't, and how to stop seeing patterns that aren't there.

A chart is a record of an auction. Each candle summarises everything that happened in a period of time into four numbers: where price opened, how high it went, how low it went, and where it closed. That's all a candle is. Everything else people claim to see in candles is interpretation — some of it useful, much of it imagined.

Anatomy of a candle

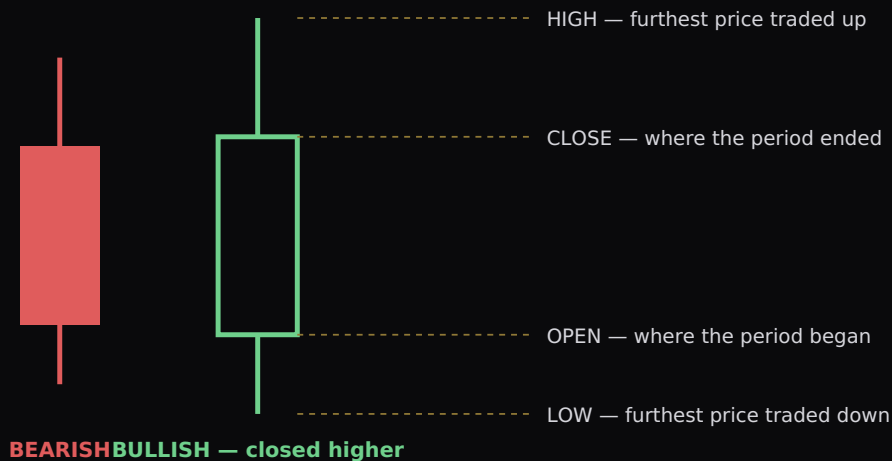


FIG 5.1 — EVERY CANDLE, ON EVERY TIMEFRAME, ON EVERY INSTRUMENT, IS THESE FOUR NUMBERS AND NOTHING MORE.

The **body** is the distance between open and close. The **wicks** (or shadows) show the extremes reached but not held. A long upper wick means price pushed up and was rejected — sellers took control before the period closed. A long lower wick means the opposite. That's genuinely informative, and it's the one candle-reading skill worth having early.

Timeframes

A chart's timeframe determines how much time each candle represents. A 5-minute chart has twelve candles per hour; a daily chart has one candle per day. The same market looks completely different on different timeframes — and crucially, **they are all true simultaneously**. A market can be in a strong uptrend on the daily and falling sharply on the 5-minute. Beginners routinely take a position based on one timeframe while the dominant move on another runs against them.

DRAWDOWN INSIGHT

Lower timeframes are not "faster opportunities" — they are lower signal-to-noise ratios. On a 1-minute chart, the spread is a larger proportion of your target, random fluctuation dominates, and costs accumulate rapidly. Almost every beginner starts too low. Start higher than feels exciting.

Other chart types

Line charts plot only closing prices — clean, useful for seeing overall direction without noise. Bar charts show the same four values as candles in a different visual form. Candlesticks dominate because the body/wick relationship is instantly readable. Use whichever you read most clearly; the underlying data is identical.

Reading a chart properly – a repeatable process

FRAMEWORK – THE FIVE-STEP CHART READ

1. **Zoom out first.** Always begin on a higher timeframe. What has this market been doing for weeks? Direction, or range?
2. **Mark the obvious levels.** Where has price repeatedly turned? Two or three clear lines, not fifteen.
3. **Identify the structure.** Higher highs and higher lows, lower highs and lower lows, or neither?
4. **Drop one timeframe.** Where is price now relative to those levels and that structure?
5. **Ask what would have to happen.** Not "what will it do" – "what would need to occur for my idea to be valid, and what would prove it wrong?" That second half is where your stop goes.

Candlestick patterns – the honest assessment

You will encounter dozens of named patterns: hammers, engulfing candles, dojis, morning stars. Here is the honest position on them. Individually, and in isolation, most have weak predictive value — they appear constantly, and you notice the ones that preceded a move because of hindsight. Their value is contextual: a rejection candle at a level that has held three times before, in the direction of the higher-timeframe trend, is meaningful. The identical candle in the middle of nowhere is noise.

PATTERN	WHAT IT MAY INDICATE – IN THE RIGHT CONTEXT ONLY
Long lower wick	Buyers absorbed selling pressure at that level. Meaningful at established support; noise elsewhere.
Long upper wick	Sellers rejected higher prices. Meaningful at established resistance.
Engulfing candle	A decisive shift in control within one period. Worth noting at a level or after an extended move.
Doji open ≈ close	Indecision. Informative after a strong trend; entirely meaningless in a quiet range, where they appear constantly.

WARNING – PATTERN HALLUCINATION

The human brain finds patterns in randomness with total confidence. You will look at a chart and see obvious formations everywhere, and most of them are not predictive. The test is brutal and simple: could you have identified this pattern **on the hard right edge of the chart, before the outcome**, using a written rule? If not, you're reading history, not analysing markets.

A practical exercise

Before moving on, spend an hour doing this. Open a daily chart of one liquid instrument. Scroll back six months. Mark the three most obvious levels where price turned repeatedly. Then step forward candle by candle and, at each new candle, write down what you would have expected next and why — before revealing it. Do fifty candles.

You will learn more about your own pattern-recognition biases in that hour than in fifty YouTube videos, and it costs nothing.

Chapter 5 — What to take with you

- ☐ A candle is four numbers. Everything else is interpretation.
- ☐ All timeframes are true at once. Know which one you're trading and which one is dominant.
- ☐ Patterns matter only in context — at levels, with structure, in trend direction.
- ☐ If you couldn't identify it at the hard right edge with a written rule, it isn't a signal.

06

PART II — READING THE MARKET • CHAPTER SIX

Market Structure

Trends, ranges, support and resistance — the framework underneath every strategy, and the only chart reading that genuinely matters.

If you learn one analytical skill from this book, make it this one. Market structure is simply the pattern of highs and lows a market prints over time. It tells you whether buyers or sellers are in control, where the market is likely to react, and — most valuably — where your idea would be proven wrong.

Trends: higher highs, lower lows

An **uptrend** is a sequence of higher highs and higher lows. Each push up exceeds the last; each pullback holds above the previous low. A **downtrend** is the inverse. That's the entire definition — no indicator required, no interpretation, no ambiguity.

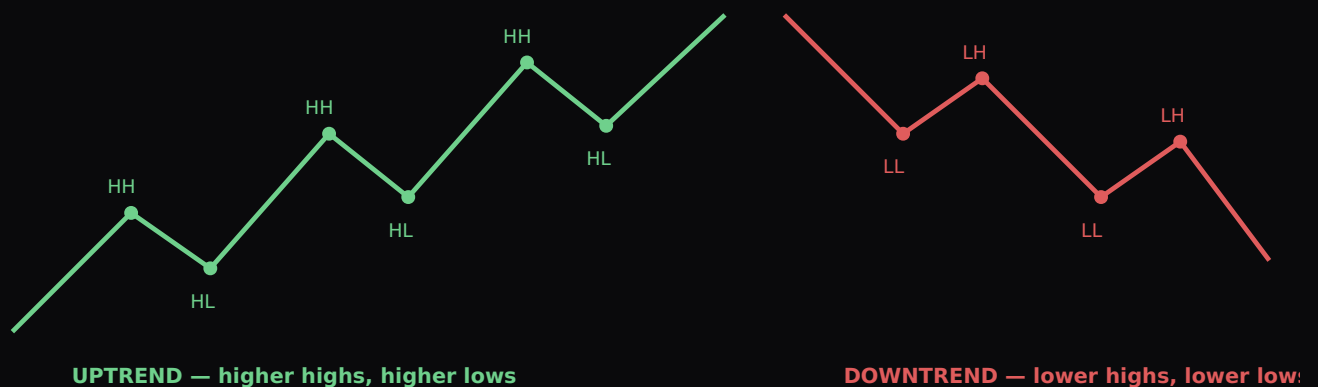


FIG 6.1 — STRUCTURE IS OBJECTIVE. EITHER THE SEQUENCE HOLDS OR IT DOESN'T, AND WHEN IT BREAKS, YOUR ASSUMPTION ABOUT CONTROL HAS BEEN INVALIDATED.

The practical power of this is enormous: **structure gives you an objective invalidation point**. If you're long in an uptrend, the trend is intact while higher lows hold. If price breaks below the last higher low, your premise is wrong — not "looking shaky", actually wrong. That's where your stop belongs, and it's why structure-based stops are more defensible than arbitrary distances.

Ranges

Markets spend a great deal of their time going nowhere — oscillating between a ceiling and a floor. In a range, trend-following behaviour bleeds you: you buy strength near the top and sell weakness near the bottom, repeatedly. Recognising a range early is worth more than any entry technique, because the correct response is either to trade its edges deliberately or to stand aside entirely.

Support and resistance

Support is a price area where buying has repeatedly appeared, halting declines. **Resistance** is where selling has repeatedly appeared, halting advances. These are areas, not precise lines — draw them as zones, and expect price to overshoot slightly rather than turn on the exact pixel.

Why do they work at all? Not magic. Orders cluster at obvious levels: traders place stops beyond previous highs and lows, take profits at prior levels, and enter where they've seen reactions before. Levels become meaningful partly because a large number of participants are watching the same obvious places.

DRAWDOWN INSIGHT — THE FLIP

When a support level finally breaks, it frequently becomes resistance on the retest, and vice versa. The mechanism is behavioural: traders who bought at that level and are now losing often exit at break-even when price returns, creating supply exactly where demand used to be. This is one of the more reliable structural behaviours in markets.

Breakouts and false breakouts

A breakout is price moving decisively beyond a level, suggesting a new phase. A false breakout is price moving beyond it, triggering the orders sitting there, and immediately reversing. The second is extremely common — common enough that many experienced traders prefer to wait for a level to break and then **hold** on a retest, rather than entering the initial break. You'll miss some genuine moves that way. You'll also avoid a category of loss that punishes beginners relentlessly.

How to mark up a chart — properly

FRAMEWORK — WEEKLY CHART PREPARATION

Once a week, before the trading week begins, on each instrument you trade:

1. Open the daily chart. Mark no more than three major zones where price has clearly reacted multiple times.
2. Note the current structure in one written sentence: "uptrend, last higher low at X" or "range between X and Y".
3. Drop to your trading timeframe. Mark the same zones — they should still be visible.
4. Write down the two scenarios you'd act on this week, and what invalidates each.
5. Stop. Do not add more lines. A chart with fifteen levels on it has no levels on it.

The most common structural mistake

Beginners fight structure. Price is in a clear downtrend making lower lows, and they buy — because it "looks cheap", or because an indicator says oversold, or because it's fallen a long way already. Markets can fall a very long way further. Trading against structure requires a specific, articulable reason and tighter risk; doing it because you feel a move is overdue is not a reason, it's a hope with money attached.

Chapter 6 – What to take with you

- ☐ Structure is objective: higher highs and higher lows, or lower highs and lower lows.
- ☐ Broken structure is an invalidation point — that's where stops belong.
- ☐ Levels are zones, not lines. Three good ones beat fifteen.
- ☐ Trading against clear structure needs a specific reason, not a feeling that it's due.



PART II — READING THE MARKET · CHAPTER SEVEN

Indicators — and the Indicator Trap

What indicators actually calculate, the handful worth knowing, and why adding more of them makes your trading worse rather than better.

Every indicator is a calculation performed on price and volume data you already have. It cannot see the future, cannot access information the chart doesn't contain, and cannot know anything the market hasn't already printed. Once you internalise that, indicators become useful tools rather than magic, and you stop searching for the one that works.

The fundamental limitation

Indicators are derived from past price. Every single one of them lags to some degree, because they must wait for price to happen before calculating anything. A moving average tells you where price has been. An oscillator tells you how far it has moved relative to its recent range. Neither predicts. They summarise — and a good summary is genuinely useful, provided you never confuse it with a forecast.

The four worth knowing

INDICATOR	WHAT IT CALCULATES	LEGITIMATE USE
Moving average	Average closing price over N periods, plotted continuously	A visual read on direction and a dynamic reference level. Longer periods for context, not for signals.
RSI	The magnitude of recent gains relative to recent losses, scaled 0–100	Identifying when a move is stretched relative to its own recent history — and spotting divergence. Not a reversal signal on its own.
MACD	The relationship between two moving averages, plus a signal line	Reading momentum shifts and whether a trend is accelerating or fading.
Volume	How much actually traded in each period	Genuinely additive information rather than a price derivative. A move on high volume carries more conviction than the same move on thin volume.

WARNING – "OVERBOUGHT" DOES NOT MEAN "SELL"

The most expensive misunderstanding in beginner trading. RSI above 70 does not mean price will fall. In a strong trend, RSI can remain "overbought" for weeks while price continues climbing — and traders who shorted on that reading are stopped out repeatedly. Overbought means the recent move has been strong. Strong moves frequently continue.

Divergence – the one signal worth learning

Divergence occurs when price makes a new extreme but the indicator doesn't. Price prints a higher high; RSI prints a lower high. It suggests the momentum behind the move is weakening even as price extends. It is not a reversal signal by itself — divergence can persist for a long time — but as a warning that a trend is tiring, in combination with structure, it earns its place.

The indicator trap

Here is the trap, and almost every beginner walks into it. You take some losses. You conclude your analysis is insufficient. You add an indicator. It helps for a while, then you take losses again, so you add another. Within months your chart carries six indicators, they contradict each other constantly, and you now have a sophisticated apparatus for finding a reason to justify whatever you already wanted to do.

The underlying error is diagnostic. The losses were almost certainly caused by position sizing, overtrading or emotional execution — none of which any indicator addresses. Adding tools to solve a discipline problem is like adding gauges to a car you're driving too fast.

DRAWDOWN INSIGHT

Every indicator you add increases the chance that at least one of them agrees with what you want to do. That isn't confirmation — it's manufactured permission. Fewer inputs produce clearer, more consistent decisions, and consistency is what makes a track record readable.

A defensible setup

If you want a starting configuration: **price, structure, and at most two indicators** — typically a long-period moving average for directional context and volume for conviction. That's it. Everything else is optional, and should only be added once you can articulate precisely what question it answers that your existing setup cannot.

The test for any new tool

FRAMEWORK — BEFORE YOU ADD ANYTHING TO YOUR CHART

1. What specific question does this answer? Write it in one sentence.
2. Can my current setup answer it? If yes, don't add it.
3. What will it tell me to do that I wouldn't otherwise do?
4. What will I remove to make room for it?
5. Test it for fifty trades in your journal alongside your existing process before it earns a permanent place.

If you can't answer all five, the honest reason you want it is that you're uncomfortable with uncertainty. No indicator fixes that.

On automated indicators and "algorithms"

You will be sold indicators that promise to identify reversals, print buy and sell arrows, or reveal institutional activity. Apply a simple test: **if it reliably worked, why is it being sold to you for £97?** A genuinely predictive tool is worth vastly more deployed privately than retailed publicly. That's not cynicism, it's arithmetic — and it filters out an enormous amount of expensive noise.

Chapter 7 – What to take with you

- ☐ Indicators calculate the past. None of them predict.
- ☐ "Overbought" means strong, not due to reverse.
- ☐ Adding indicators to fix a discipline problem never works.
- ☐ Price, structure, and at most two indicators. Justify anything beyond that in writing.

PART II — READING THE MARKET · CHAPTER EIGHT

Timeframes & Context

Top-down analysis, choosing your operating timeframe, and why the timeframe you trade should be decided by your life, not your ambition.

Every trader operates on three timeframes whether they realise it or not: one for context, one for decisions, and one for execution. Beginners typically use only one — usually far too low — and then wonder why the market keeps doing things that make no sense. It makes perfect sense on the timeframe above.

The three-timeframe structure

CONTEXT — e.g. Daily

What is the dominant direction? Where are the major levels? Am I with the tide or against it?

DECISION — e.g. 1 Hour

Is my setup present? Where is the invalidation? Is this trade worth taking at all?

EXECUTION — e.g. 15 Min

Precise entry, precise stop placement. Refinement only — never a reason to override the decision above.

FIG 8.1 — ANALYSIS FLOWS DOWNWARD. DECISIONS MADE ON A LOWER TIMEFRAME THAT CONTRADICT THE TIMEFRAME ABOVE ARE USUALLY JUST NOISE YOU'VE GIVEN PERMISSION TO.

The critical discipline is that **information flows down, not up**. Your execution timeframe refines entry on a decision you've already made. It never generates a trade that contradicts your context. The moment a 5-minute chart talks you out of a 4-hour read, you've inverted the hierarchy and you're now trading noise with conviction.

Choosing your operating timeframe honestly

STYLE	TYPICAL TIMEFRAMES	WHAT IT ACTUALLY DEMANDS
Scalping	1m - 5m	Full, uninterrupted attention; fast decisions; costs are a large proportion of each target. The hardest style to learn on and the most punishing for beginners.
Day trading	5m - 1h	A committed daily session of several hours. Positions closed before the day ends — no overnight risk, no financing charges.
Swing trading	4h - Daily	Checking in once or twice a day. Positions held days to weeks. Overnight and weekend gap risk, plus financing costs — but far more compatible with a job.

DRAWDOWN INSIGHT — THE SCHEDULE DECIDES, NOT YOU

If you work full time, you are a swing trader. Attempting to day trade around a job produces the worst of both: you miss the session's meaningful moves, you check positions at random moments, and you make decisions while distracted. Choose the style that fits the hours you genuinely have, not the one that looks most like a career.

Why lower timeframes are harder, not faster

Beginners gravitate to low timeframes because more candles feels like more opportunity. In practice: the spread is a larger share of your target, random fluctuation swamps signal, costs compound with frequency, and decisions must be made in seconds — which is exactly when emotion beats process. The lower you go, the more of your result is determined by execution quality and cost, and the less by analysis.

The top-down routine

FRAMEWORK – THE DAILY TOP-DOWN READ (TEN MINUTES)

1. **Weekly/Daily:** direction and major levels. One sentence, written down.
2. **4-hour:** is price approaching, at, or away from one of those levels?
3. **1-hour:** is my setup forming? If not, the session may simply be a no-trade day. Accept that.
4. **Execution timeframe:** only if steps 1–3 aligned. Refine entry and stop.
5. **Write the invalidation** before entering anything: "I am wrong if price does X."

If steps 1–3 don't align, stop at step 3. A no-trade day identified in ten minutes is one of the highest-return activities in trading.

Alignment – when the timeframes agree

The highest-probability situations occur when timeframes point the same way: the daily is trending up, price has pulled back to a level that held before, and the hourly shows that pullback stalling. All three are saying the same thing. These situations are not frequent — perhaps a handful a month per instrument — which is precisely why patience is a technical skill, not just a virtue.

Conversely, when timeframes conflict — daily up, 4-hour down — the honest answer is usually that there is no trade. Beginners resolve conflict by picking the timeframe that agrees with them. Professionals resolve it by waiting.

Multi-timeframe mistakes to avoid

- **Timeframe shopping.** Flicking through charts until one supports the trade you already want. If you notice yourself doing this, close the platform.
- **Stop placement on the wrong timeframe.** A trade based on a daily read needs a stop with daily-sized room. A 5-minute stop on a daily idea will be taken out by ordinary noise before your premise resolves.
- **Changing timeframes mid-trade.** Dropping to a lower chart while in a losing position, to find a reason to hold, is one of the most reliable precursors to a large loss.

Chapter 8 – What to take with you

- ☐ Three timeframes: context, decision, execution. Information flows down only.
- ☐ Your available hours determine your style. Be honest about them.
- ☐ Lower timeframes are harder, noisier and more cost-sensitive — not faster.
- ☐ When timeframes conflict, the trade is usually "none".

PART II — READING THE MARKET · CHAPTER NINE

What Actually Moves Markets

Interest rates, economic data, central banks and sentiment — the forces behind the candles, and how to use an economic calendar without pretending to forecast.

Charts show you what happened. This chapter is about why. You do not need to become an economist — you need enough understanding to know when your instrument is likely to move violently, and enough humility to stop trying to predict those moves.

Interest rates – the master variable

More than anything else, interest rate expectations drive currency and index markets. Higher rates in a country tend to attract capital seeking yield, supporting its currency; they also raise borrowing costs for companies, which typically weighs on equities. Crucially, markets trade **expectations, not events**. By the time a central bank announces a decision, the widely-expected outcome is largely priced in. The move comes from the **surprise** — the gap between what was expected and what was delivered, plus the tone of the accompanying commentary.

DRAWDOWN INSIGHT – WHY "GOOD NEWS" SOMETIMES CRASHES A MARKET

Beginners are constantly confused when strong data sends a market down. The reason is expectation: if the market anticipated even stronger data, the actual number is a disappointment relative to what was priced. You are not trading the news. You are trading the difference between the news and what was already expected — which is unknowable in advance and precisely why trading news releases is a poor beginner strategy.

The data that matters

RELEASE	WHAT IT MEASURES	WHY MARKETS REACT
Central bank decisions Fed, BoE, ECB	Interest rate policy and forward guidance	The single largest scheduled mover. The statement and press conference often matter more than the rate itself.
Inflation (CPI)	The rate at which prices are rising	Directly shapes rate expectations. Consistently among the highest-impact releases.
Employment data US Non-Farm Payrolls	Jobs added, unemployment rate, wage growth	Feeds into rate expectations and growth outlook. Historically produces violent short-term moves.
GDP	Overall economic output	Broad growth picture. Often less market-moving than CPI because it is backward-looking.
PMI surveys	Business activity sentiment	Forward-looking, so watched closely as an early signal.
Company earnings	Individual company results	Drives individual shares, and heavyweight companies can move whole indices.

Using an economic calendar

An economic calendar lists scheduled releases with an expected impact rating, the forecast, and the previous figure. Your use of it as a beginner is defensive, not predictive: **check it every single morning**, note the high-impact events affecting your instrument, and plan to be flat or out of the market around them. That's it. You are not using it to predict direction — you are using it to avoid being in a leveraged position when spreads triple and price gaps.

Why news trading is a beginner trap

It looks perfect: a known time, guaranteed volatility, a clear catalyst. In reality, during major releases spreads widen dramatically, slippage means your stop may fill far worse than placed, price can move violently in both directions within seconds before settling, and orders can be rejected outright. You can be entirely correct about direction and still lose money on execution alone. Professionals with dedicated infrastructure trade these events. Beginners with a retail platform and a phone should not.

Sentiment and positioning

Beyond data, markets move on collective mood — risk-on periods where capital flows toward growth assets, and risk-off periods where it retreats to perceived safety. You'll notice correlations appear: several instruments moving together because they're all expressions of the same underlying sentiment. This matters practically: taking three "different" positions that are all really the same risk-on bet means you have one position at triple size, and you'll discover that on the day it goes wrong.

WARNING — CORRELATION IS HIDDEN CONCENTRATION

Long an index, long a risk-sensitive currency, and short gold may feel like three diversified trades. They're frequently one trade wearing three costumes. Before adding a position, ask honestly whether it's genuinely independent of what you already hold.

How much fundamental analysis do you actually need?

For a short-term technical trader: considerably less than you'd think, but not zero. You need to know what's scheduled today, what the dominant macro theme currently is (roughly — "markets are focused on inflation and rate cuts" is sufficient), and whether anything unusual is happening in your instrument. Ten minutes a morning covers it.

What you don't need is to form strong macro opinions and trade them. Forecasting the economy is extraordinarily difficult even for institutions employing teams of economists, and a leveraged retail position is a very expensive way to express a macro view you can't hedge.

FRAMEWORK — THE TEN-MINUTE MORNING CHECK

1. Open the economic calendar, filter to high-impact only, note the times for your instrument's currencies.
2. Mark those windows as no-trade periods in your plan for the day.
3. Scan headlines for anything unscheduled and significant.
4. Note whether the tone is broadly risk-on or risk-off.
5. Do your top-down chart read from Chapter 8. Then stop analysing and start waiting.

Chapter 9 — What to take with you

- ☐ Markets trade expectations, not events. The move is in the surprise.
- ☐ Use the calendar defensively — to be flat around impact, not to predict.
- ☐ News trading punishes retail execution regardless of whether you're right.
- ☐ Correlated positions are one position at multiple size. Check before adding.

10

PART III – THE MECHANICS · CHAPTER TEN

Orders & Execution

Every order type explained, what happens when you click, and a step-by-step walkthrough of placing and managing your first trade correctly.

This is the chapter where theory becomes clicking. Order types are simple, but the consequences of misunderstanding them are not — a stop order used where a limit was intended, or a missing stop loss, can turn a routine loss into a serious one. Learn these properly on demo before any of it is real.

The order types

ORDER	WHAT IT DOES	WHEN YOU'D USE IT
Market order	Executes immediately at the best price currently available	When getting in matters more than the exact price. Carries slippage risk in fast markets.
Limit order	Executes only at your specified price or better	Buying a pullback into a level, or selling into a rally. Price control, but it may never fill.
Stop entry order	Triggers a market order once price reaches your level	Entering on a breakout above resistance. Fills at market once triggered, so slippage applies.
Stop loss	Closes your position once price hits your defined level of loss	Every trade. Without exception. This is not optional.
Take profit / limit exit	Closes your position at a defined profit level	Removing the decision — and the temptation — from the moment of profit.
Trailing stop	A stop that follows price at a fixed distance as the trade moves in your favour	Protecting gains in a trending move. Set the distance to market noise, not to your comfort level.
Guaranteed stop	Closes at exactly your level even through a gap — for a premium	Where gap risk is material. Costs more; occasionally worth it.

WARNING — A STANDARD STOP LOSS IS NOT A GUARANTEE

A normal stop becomes a market order when triggered. If the market gaps past your level — overnight, over a weekend, or on a shock — you will be filled at the next available price, which can be materially worse. This is why weekend and overnight exposure requires deliberate thought rather than default acceptance.

Buy stop or buy limit? The one that catches everyone

Both are pending buy orders, and beginners mix them up constantly with expensive results. A **buy limit** sits **below** current price — you want to buy cheaper. A **buy stop** sits **above** current price — you want to buy only if it breaks higher. The same logic inverts for sells: a sell limit sits above, a sell stop sits below. Get this wrong and your platform will reject the order or, worse, fill you into the opposite of your intention.

Placing your first trade – step by step

FRAMEWORK – THE COMPLETE ORDER PROCESS

1. **Identify the setup** using your top-down read. Write down why, in one sentence, before touching the ticket.
2. **Decide where you are wrong.** Find the price that invalidates the idea – beyond structure, not at an arbitrary distance. This is your stop level.
3. **Decide your target.** Where does the move logically go? Usually the next structural level.
4. **Check the ratio.** Is the distance to target meaningfully larger than the distance to stop? If not, there is no trade.
5. **Calculate position size** from your risk amount and stop distance (Chapter 11). Never pick a size that feels right.
6. **Open the ticket** and enter: instrument, direction, calculated size, stop loss, take profit.
7. **Check every field twice.** Especially size and direction. Most catastrophic beginner errors are typing errors.
8. **Submit – then leave it alone.** The decisions are made. Watching the tick-by-tick will only tempt you to interfere.
9. **Record it in your journal immediately** – while your reasoning is honest, not after the outcome edits your memory.

Managing a live position

The default should be: **do nothing**. You set a stop and a target because you'd already decided what would prove you right or wrong. Interfering usually means overriding your calm judgement with your anxious one.

There are two legitimate management actions, and they should be pre-defined in your plan rather than improvised. **Moving to break-even** once the trade has run a meaningful distance in your favour – this removes risk, but placed too early it converts winners into scratches by putting your stop inside normal noise. And **partial closes**, taking some profit at a level and letting the rest run, which reduces variance at the cost of some upside. Both are valid. Both must be written rules, not moment-by-moment decisions.

WARNING – THE ONE THING YOU MUST NEVER DO

Never move a stop loss further away to avoid being stopped out. This single behaviour is responsible for more destroyed accounts than any other. It converts a small planned loss into an unbounded one, and it is always accompanied by a convincing reason. The moment you find yourself reasoning about why this particular stop should be widened, close the position instead.

Slippage, rejection and requotes

In fast markets you may be filled worse than requested, or your order may be rejected entirely. This is normal, not a conspiracy. Its practical implication is that your risk calculation should assume some slippage rather than perfect fills, and that entering during the most violent moments carries execution costs that don't appear on the chart.

Chapter 10 — What to take with you

- ☐ Stop loss on every trade, entered at the same time as the position.
- ☐ Limit orders sit where price is better; stop orders sit where price is worse. Check every time.
- ☐ Never widen a stop. Close the trade instead.
- ☐ Management actions must be pre-written rules, never improvised.



PART III – THE MECHANICS • CHAPTER ELEVEN

Risk Management & Position Sizing

The arithmetic that decides whether you survive long enough to become good. The most important chapter in this book.

If you read one chapter twice, read this one. Analysis determines whether you're right. Risk management determines whether being wrong matters. Almost every account that dies, dies here — not because the trader picked bad directions, but because they sized positions in a way that made ordinary bad luck fatal.

The first principle

You cannot make money from an account you no longer have. Everything else in risk management follows from that sentence. Your primary job is not to make profit — it is to remain solvent long enough for your skill to develop and your edge, if you build one, to express itself.

Risk per trade – the number that matters

Decide, in advance, the maximum percentage of your account you will lose on any single trade. For a beginner, **1% is a sensible ceiling and 0.5% is better**. On a £2,000 account that's £20 or £10. It will feel insultingly small. That feeling is the problem this rule exists to solve.

Here's why it's not small. At 1% risk, ten consecutive losses cost you about 10% of the account — painful, entirely survivable, and you're still trading. At 10% risk, ten consecutive losses cost you roughly 65% and you are effectively finished. Ten consecutive losses is not a disaster scenario; it's an ordinary run that every trader encounters.



FIG 11.1 – THE SAME LOSING STREAK, FOUR DIFFERENT RISK LEVELS. ONLY THE POSITION SIZING CHANGED.

The recovery problem

Losses and gains are not symmetrical, and this catches everyone out. Lose 10% and you need 11% to get back. Lose 25% and you need 33%. Lose 50% and you need **100%** — you must double what remains simply to return to where you began. Lose 75% and you need 300%. This asymmetry is why deep drawdowns are so rarely recovered: the hole gets exponentially harder to climb out of exactly as your confidence and capital are at their lowest.

Calculating position size

This is the single most important calculation in trading, and it takes ten seconds:

$$\text{Position size} = (\text{Account} \times \text{Risk } \%) \div \text{Stop distance}$$

Worked example. Account £5,000. Risk 1% = £50. Your analysis puts the stop 40 pips away. $£50 \div 40 \text{ pips} = £1.25$ per pip. That's your position size — not a round number you liked, not the maximum the platform allows. The stop distance is set by the market's structure; your position size adjusts around it.

WARNING — THE INVERSION THAT KILLS ACCOUNTS

Beginners choose a position size first, then place a stop wherever leaves a "comfortable" loss. That's backwards. The stop belongs where your idea is invalidated — the market decides that. Position size is the variable you adjust. When the stop must be wide, you trade smaller; when it can be tight, you trade larger. Same money at risk, every time.

Risk-reward and why win rate alone means nothing

Express everything in **R** — multiples of what you risked. Risking £50 to make £150 is a 3R trade. This normalises everything and makes comparison honest.

WIN RATE	AVERAGE R WON	RESULT OVER 100 TRADES (RISKING 1R)
70%	0.5R	+35R - 30R = +5R — barely breaks even after costs
50%	2R	+100R - 50R = +50R
35%	3R	+105R - 65R = +40R

Read that carefully: the trader who is wrong 65% of the time makes far more than the trader who is right 70% of the time. **Being right is not the objective.** Making more when right than you lose when wrong is the objective — and it's why the obsession with win rate is one of the most misleading ideas in retail trading.

Daily and weekly limits

Per-trade risk is not enough on its own, because the real danger is the day you take six trades in a row while emotionally compromised. Set hard limits: **a daily stop** (two or three losses, or 2% of the account — whichever comes first) after which you close the platform, and **a weekly stop** (around 5%) after which you're flat until you've reviewed. These aren't suggestions to yourself. They're the difference between a bad day and a bad month.

What your account size actually means

Beginners underestimate this: with a small account, sensible risk produces small absolute numbers, and that's not a problem to be solved with leverage. A £1,000 account risking 1% is risking £10 per trade. If £10 outcomes

feel pointless, the correct responses are to accept it as tuition, or to build capital elsewhere first — **not** to increase risk. Increasing risk to make the numbers feel meaningful is the exact mechanism by which small accounts become no accounts.

Chapter 11 — What to take with you

- ☐ Risk 0.5–1% per trade. It will feel too small. That's the point.
- ☐ Losses and recovery are asymmetric — a 50% loss needs a 100% gain.
- ☐ Stop distance is set by the market; position size is what you adjust.
- ☐ Win rate alone is meaningless. Trade the full expectancy.
- ☐ Daily and weekly loss limits, enforced by closing the platform.

PART III — THE MECHANICS · CHAPTER TWELVE

Building a Strategy

What a strategy actually consists of, how to test one before risking money, and why expectancy — not accuracy — is the number that matters.

A strategy is not a chart pattern or an indicator setting. It is a complete, written specification of what you trade, when you trade it, how much you risk, where you exit, and under what conditions you don't trade at all — precise enough that another person could follow it and produce the same decisions.

The six components

COMPONENT	MUST SPECIFY
Market & timeframe	Exactly which instrument, which session, which timeframes for context, decision and execution.
Setup conditions	The specific, observable conditions that must ALL be true. If you can't write it as a checklist, it isn't a setup.
Entry trigger	The precise event that puts you in — not "when it looks ready".
Stop placement	The structural logic for where invalidation sits. Same logic every time.
Exit / target	Where you take profit, and any pre-defined partial or break-even rules.
Filters & exclusions	Conditions under which you do not trade at all: news windows, low volatility, wrong session, after your daily stop.

DRAWDOWN INSIGHT — THE SPECIFICITY TEST

Hand your written strategy to someone who doesn't trade. Have them read it while looking at a chart with you. If they cannot point at the screen and say "that's a setup" — or if you find yourself saying "well, it depends" — your strategy isn't written, it's felt. Feelings can't be tested, reviewed or improved.

Expectancy – the number that decides everything

Expectancy tells you what one trade of your strategy is worth on average:

$$\text{Expectancy} = (\text{Win\%} \times \text{Avg win}) - (\text{Loss\%} \times \text{Avg loss})$$

If it's positive, repetition works in your favour and your job is to execute consistently and often enough. If it's negative, repetition is precisely what destroys you — every trade has a negative expected value, and trading more frequently simply accelerates the outcome. A strategy without a measured expectancy is not a strategy. It's a hypothesis you're funding.

Where strategies come from

Not from being invented in isolation. Realistically you start with an established approach — trend continuation on pullbacks, range reversion at established levels, breakout continuation from consolidation — and then adapt it to

your instrument, your session and your temperament through testing. There is no shame in starting with something conventional. Almost every professional strategy is a well-executed version of something unremarkable.

Testing – the three stages

FRAMEWORK – PROVING A STRATEGY BEFORE IT COSTS YOU

Stage 1 — Backtest (manual). Scroll back on the chart and step forward candle by candle, recording every trade your written rules would have produced. Minimum 50 trades. Use a spreadsheet, record entry, stop, exit, R result. Manual is better than automated here because you learn the market's behaviour while you do it.

Stage 2 — Forward test (demo). Trade the strategy live on demo, in real time, for at least 50 more trades. This catches the things backtesting hides: hesitation, ambiguous setups, execution difficulty, and whether the rules are actually followable in real time.

Stage 3 — Live, minimum size. The smallest position your broker permits, for at least 30 trades. The purpose is not profit — it's to test whether you follow the same rules when real money is attached. Most people discover here that they don't.

WARNING – THE TRAPS IN BACKTESTING

Hindsight bias: when you can see what happened next, every entry looks obvious. Cover the right side of the screen. **Curve fitting:** adjusting rules until they perfectly fit historical data produces a strategy optimised for a past that will never repeat. **Cherry-picking:** recording the trades that worked and forgetting the ambiguous ones. Record every signal your rules generate, including the ones you'd rather not.

What good test results look like

Not spectacular. A strategy showing 300% annual returns in backtesting is almost certainly curve-fitted, and will disappoint immediately. What you're looking for is: positive expectancy across at least 100 trades, a maximum drawdown you could tolerate emotionally, results that don't depend on two or three outlier trades, and — critically — **consistency between backtest, demo and live**. When live results diverge sharply from tested results, the difference is almost always you, not the market.

When to change a strategy – and when not to

Do not change it because of a losing streak. Losing streaks are guaranteed by the mathematics of any win rate below 100%, and abandoning a positive-expectancy strategy during one is the most common way traders ensure they never develop. Change it when the data across a meaningful sample says so — expectancy declining steadily over 100+ trades, not five bad days — and change one variable at a time, or you'll never know which change did what.

Chapter 12 — What to take with you

- ☐ If it isn't written precisely enough for a stranger to follow, it isn't a strategy.
- ☐ Positive expectancy makes repetition your friend; negative expectancy makes it fatal.
- ☐ Backtest 50, demo 50, live—minimum 30 — in that order, before real size.
- ☐ Spectacular backtest results mean curve fitting, not a good strategy.

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PART III — THE MECHANICS · CHAPTER THIRTEEN

Your Trading Plan

The written document that turns intentions into a system — and the worksheet to build yours before you risk anything.

A trading plan is not paperwork to feel professional. It is a decision-removal machine. Every decision made in a live market under pressure is worse than the identical decision made calmly beforehand — so the plan exists to make as many decisions as possible in advance, leaving execution as the only live task.

Plan versus strategy

Your strategy is what you trade. Your plan is everything around it: your objectives, your risk parameters, your routine, your limits, your review schedule, and the circumstances under which you stop. A trader can have a good strategy and no plan — that trader will eventually break the strategy, because nothing exists to stop them.

What the plan must contain

SECTION	WHAT GOES IN IT
Objective	What you're actually trying to achieve this year, in skill terms rather than money terms. "Execute 200 trades at 95%+ plan adherence" is a usable objective. "Make £2,000 a month" is a wish that will make you take bad trades.
Capital	How much is in the account, how much you're prepared to lose in total before stopping, and confirmation that this money is genuinely disposable.
Markets & hours	Exactly what you trade and when, matched to your real availability.
Risk parameters	Risk per trade, daily stop, weekly stop, maximum concurrent positions, maximum correlated exposure.
Strategy reference	Your written setup rules from Chapter 12.
Routine	Pre-session preparation, during-session conduct, post-session journaling and shutdown.
No-trade conditions	News windows, post-daily-stop, illness, fatigue, emotional distress, major life events, alcohol.
Review schedule	When you review weekly and monthly, and what triggers a change.
Stop conditions	The circumstances under which you stop trading entirely and reassess. Write these while calm — you will not write them fairly while losing.

DRAWDOWN INSIGHT

The most valuable section of any trading plan is the list of conditions under which you do nothing. Professionals are defined far less by the trades they take than by the enormous number they decline. Your no-trade rules are not restrictions on your trading — they largely **are** your trading.

Trading plan worksheet

Complete in ink before you fund an account. An empty box means you are not ready.

OBJECTIVE THIS YEAR (SKILL-BASED)

ACCOUNT SIZE / TOTAL CAPITAL AT RISK

INSTRUMENT(S) – MAXIMUM TWO

SESSION & DAYS I WILL TRADE

TIMEFRAMES: CONTEXT / DECISION / EXECUTION

RISK PER TRADE (%) AND IN £

DAILY STOP

WEEKLY STOP

I WILL STOP TRADING ENTIRELY AND REASSESS IF...

SETUP CONDITIONS – ALL MUST BE TRUE

ENTRY TRIGGER

STOP PLACEMENT LOGIC

TARGET / EXIT LOGIC

I WILL NOT TRADE WHEN...

Living with the plan

Print it. Keep it visible while you trade — not in a folder, on the desk. Read the no-trade conditions before each session. Grade yourself daily on adherence, not on profit: a losing day with 100% adherence is a successful day, and a profitable day full of violations is a warning. And amend it only at scheduled reviews, never mid-session and never while in a position. A plan you're allowed to change under pressure isn't a plan.

Chapter 13 — What to take with you

- ☐ The plan removes decisions from the moment of pressure. That's its entire job.
- ☐ Objectives in skill terms, not money terms.
- ☐ Your no-trade conditions are the most valuable section.
- ☐ Amend only at scheduled reviews — never mid-session, never in a position.

PART III – THE MECHANICS · CHAPTER FOURTEEN

Trading Psychology

Why you will break your own rules, what's actually happening when you do, and the systems that make discipline structural rather than heroic.

You will read this book, agree with all of it, write a plan, and then break it. Probably within the first month. This isn't a character flaw — it's the predictable result of putting a human nervous system in front of a live P&L. The traders who survive aren't the ones with superhuman willpower. They're the ones who built systems that don't require it.

Why intelligence doesn't help

Doctors, engineers, lawyers and successful business owners lose money trading at much the same rate as everyone else. Markets don't test intelligence. They test emotional regulation under uncertainty, at speed, with money attached — and they test it repeatedly, all day. Worse, high achievers often struggle more, because their success came from working harder when things went wrong. In trading, working harder when things go wrong usually means trading more, which is exactly the wrong response.

The four forces

FORCE	WHAT IT LOOKS LIKE	THE STRUCTURAL FIX
Fear	Skipping valid setups; exiting winners early; moving stops closer; shrinking size after a loss	Reduce size until the fear quiets. Fear scales with the money at risk. Pre-commit your exits at entry so there's nothing to decide.
Greed	Oversizing a "certain" trade; moving targets further mid-trade; adding beyond plan	Fixed fractional sizing with zero discretion. Targets set before entry and never extended while in the trade.
Revenge	Immediate re-entry after a loss, at larger size, on a worse setup	A hard daily stop enforced physically — platform closed, leave the room. Not "be careful now". Closed.
Ego	Refusing to take a stop; adding to losers; needing to be proven right	Journal the decision, not the opinion. You're paid for managing risk, not for being right about direction.

The loss spiral

Losses hurt roughly twice as much as equivalent gains feel good — that asymmetry is standard human wiring, not weakness. Left unmanaged it produces the same sequence every time: a loss creates discomfort, discomfort demands immediate relief, and the fastest available relief is another trade, bigger, now. That trade is taken to change how you feel rather than because your rules said so.

Understanding this reframes revenge trading usefully. It isn't a discipline failure — it's pain management. And you don't fix a pain-management problem with willpower. You fix it by making the behaviour unavailable at the moment the pain arrives.

WARNING — WINNING IS MORE DANGEROUS THAN LOSING

After a good run, confidence quietly becomes entitlement. Size creeps up, marginal setups start looking acceptable, rules feel like they were for the old you. More accounts are damaged in the week after a great week than after a bad one, because losses make people careful and wins make people creative. Audit yourself hardest when you feel best.

Building discipline structurally

FRAMEWORK – SYSTEMS, NOT WILLPOWER

- 1. Pre-session state check.** Tired, angry, hungover, stressed, distracted? The plan says no trading. Thirty seconds of honesty saves real money.
- 2. One-decision trading.** Entry, stop, target and size all set at entry. Once in, there is nothing left to decide, so there's nothing for emotion to act on.
- 3. Physical circuit-breakers.** Daily stop hit means the platform closes and you leave the desk. Make the undisciplined action physically inconvenient.
- 4. Ritualise the boring.** Same preparation, same session, same review, every day. Routine is armour against impulse.
- 5. Reduce size when uncertain.** Almost every psychological problem in trading shrinks when the position is smaller. If you can't stop watching the screen, you're too big.

The screen-watching problem

If you find yourself unable to look away from a live position, that's diagnostic information: your position is too large for your emotional tolerance, regardless of what the percentage says. The correct response is to reduce size on the next trade, not to develop better focus. Position sizing is as much a psychological tool as a mathematical one.

Real confidence versus mood

Confidence built on a winning streak evaporates at the first losing week. Confidence built on a journal showing that your process, followed consistently, produces acceptable results across 200 trades survives entire losing months. If you want to feel more confident, don't work on your mindset — work on your sample size. Evidence is the only durable form of confidence available in an activity this uncertain.

The reality of tilt

Tilt is the state where you've stopped trading your plan and started trading your feelings. The critical skill is not avoiding it — you won't — but **recognising it early**. The reliable early signs: you're checking prices more often than usual, you're taking setups you'd normally skip, you're calculating what you need to make to get back to a number, and you're irritated by a chart. Any one of those means stop for the day. There is no trade worth taking in that state, and no market that won't be there tomorrow.

Chapter 14 – What to take with you

- ☐ Markets test emotional regulation, not intelligence.
- ☐ Revenge trading is pain relief, not indiscipline. Make it unavailable.
- ☐ Can't stop watching? You're too big. Reduce size.
- ☐ Confidence comes from evidence, not from a winning streak.

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PART III — THE MECHANICS · CHAPTER FIFTEEN

Journaling & Review

The habit that converts experience into skill — what to record, and the weekly and monthly reviews that turn data into improvement.

Ten years of trading without records is not ten years of experience. It's one year repeated ten times, because without data you cannot see what you're actually doing — and memory is an unreliable narrator that flatters your wins, rationalises your losses and quietly forgets your rule violations.

What to record – every trade, without exception

FIELD	WHY IT EARNS ITS PLACE
Date, instrument, session	Reveals when you actually perform — many traders discover one session produces all their losses.
Setup name	Lets you calculate expectancy per setup. Most traders find one setup is funding the losses of two others.
Entry, stop, target, size	The planned trade, recorded before the outcome can rewrite your memory of it.
Result in R	Normalises every trade for honest comparison across account sizes and instruments.
Plan adherence — Y/N	The single most predictive field in the entire journal. Be brutal here or don't bother.
Reason for entry	One sentence, written before the outcome is known.
Emotional state	One word before, one after. Patterns become obvious within a few weeks.
Screenshot	Chart at entry and at exit. Hindsight redraws charts in your memory; images don't.

DRAWDOWN INSIGHT — THE ONE QUESTION

At the end of each session, answer this in a single sentence: "If I traded exactly like this every day for a year, would I be profitable?" Not "did I make money today". The honest answer to the year-long question is your entire review, compressed into one line — and it will tell you the truth long before your P&L does.

Process versus outcome

This distinction takes most traders years to accept, so absorb it now. **A profitable trade that broke your rules is a bad trade** — it paid you for indiscipline and made the next violation more likely. **A losing trade that followed your plan exactly is a good trade** — it was variance doing what variance does. Grade every trade on process. Over a large enough sample, good process produces the P&L automatically. Grade on outcome and every lucky win teaches you a lesson that will cost you later.

The weekly review – twenty minutes

FRAMEWORK – THE WEEKLY REVIEW

1. Total the week in R. Not in pounds — R keeps you honest about size.
2. Calculate your adherence rate: rule-following trades ÷ total trades.
3. Reread every trade marked non-adherent. What was happening? Time of day? After a loss? Which emotion?
4. Identify the single behaviour that cost the most this week.
5. Write one specific intention for next week. One. "Trade better" is not an intention; "no trades in the first fifteen minutes of the session" is.

The monthly review

Once a month, zoom out and look at the data properly: expectancy per setup, performance by session and by day of week, your largest loss and whether it was within plan, drawdown depth and how long recovery took, and your adherence trend over time. This is the only place structural changes get made — retiring a setup, adjusting a session, changing a risk parameter. Calmly, from evidence, never mid-week and never while in a position.

Session journal template

DATE / SESSION / INSTRUMENT

RULES BROKEN OR NEARLY BROKEN

PRE-SESSION STATE (ONE WORD)

BEST DECISION TODAY (NOT BEST OUTCOME)

MARKET CONTEXT (ONE SENTENCE)

WOULD A YEAR OF THIS BE PROFITABLE? WHY?

TRADES: SETUP / R / ADHERED Y-N

ONE THING TO DO DIFFERENTLY TOMORROW

The compounding of small corrections

Cut your average loss slightly. Skip one poor setup a week. Add one deliberate no-trade day. Individually these are unremarkable; applied across hundreds of trades they are frequently the entire difference between a negative and a positive expectancy. The journal is what makes them visible — and what stops you abandoning a working strategy during a perfectly normal drawdown.

Chapter 15 — What to take with you

- ☐ Without records you repeat year one indefinitely.
- ☐ Adherence rate is the most predictive number you own.
- ☐ Grade process, not outcomes. Lucky wins teach expensive lessons.
- ☐ One specific improvement per week, reviewed monthly.

PART IV — GOING LIVE • CHAPTER SIXTEEN

Demo to Live

How to use a demo account properly, what you must prove before risking real money, and the transition protocol that stops the first live month destroying you.

Almost everyone rushes this. They demo for two weeks, have a good run, conclude they've got it, fund an account and lose it within a month — then blame their strategy. The strategy was fine. What failed was the transition, because demo tests your mechanics and live tests your nervous system, and nobody warned them those are different exams.

Using demo properly

Demo is not practice-clicking. It's a controlled environment for proving specific things. Treat it exactly as you intend to trade live: **set the demo balance to the amount you'll actually fund** — not £100,000 if you'll be trading £2,000, because trading a fantasy balance teaches you fantasy position sizing. Trade the same session, the same instrument, the same size, the same routine, and journal every trade.

WARNING — WHAT DEMO CANNOT TEST

Demo removes the variable that causes most failure. No real money means no fear when a position moves against you, no greed when it runs, no revenge impulse after a loss. A brilliant demo record proves your mechanics work and your rules are followable. It proves nothing whatsoever about whether you'll follow them when it's your money. Expect a performance drop when you go live — everyone gets one.

What you must prove before funding

- ☐ **Minimum 50 demo trades** of one written strategy, journaled in full.
- ☐ **Positive expectancy** across that sample — calculated, not felt.
- ☐ **Adherence rate above 90%**. If you can't follow your rules without money at stake, you certainly won't with it.
- ☐ **You survived a losing streak** of at least four in a row without changing size, strategy or timeframe.
- ☐ **A completed written trading plan** — the Chapter 13 worksheet, filled in.
- ☐ **Broker fully assessed** using the Chapter 4 checklist, and platform mechanics tested.
- ☐ **Capital confirmed genuinely disposable** — not rent, not debt repayment, not anyone else's money.

If any of those is missing, you're not ready, and going live anyway is simply choosing to pay more for the same lesson.

The transition protocol

FRAMEWORK — THE FOUR-STAGE TRANSITION

Stage 1 — Minimum size, 30 trades. The smallest position your broker allows. Yes, the profits are meaningless. That's deliberate: this stage tests whether you follow your plan with real money attached, and nothing else. Grade only adherence.

Stage 2 — Half size, 30 trades. Half your planned risk (so 0.5% if your plan says 1%). Adherence must stay above 90%. If it drops, return to Stage 1 — no negotiation.

Stage 3 — Full planned size, 50 trades. Your actual risk parameters. Review monthly. Any breach of your daily or weekly stop sends you back to Stage 2.

Stage 4 — Assessment. After roughly 110 live trades and several months, you have a real dataset. Now — and only now — you can honestly evaluate whether this is working.

The first live trade

It will feel completely different, and you should expect that rather than be alarmed by it. Your heart rate rises. A move against you that you'd have ignored on demo suddenly feels urgent. You'll want to close early to lock in a small win, or widen the stop to avoid being wrong. This is normal, it's universal, and it fades with repetition.

The defence is preparation. Enter with stop and target already placed. Then close the platform, or at minimum switch away from the chart, and let it resolve. Your job in stage one is not to make money — it's to prove you can leave a live position alone.

How much to fund

Enough to trade sensibly, little enough that losing it entirely would be disappointing rather than damaging. Two questions decide it. First: if this money vanished completely tomorrow, would anything in my life change materially? If yes, it's too much. Second: at 1% risk, is the per-trade amount large enough that I'll take it seriously, but small enough that I won't panic? If £10 per trade makes you indifferent, that's a problem too — indifference produces sloppy execution.

DRAWDOWN INSIGHT — TREAT IT AS TUITION, PRICED IN ADVANCE

Decide before you fund exactly how much you're prepared to lose learning — an amount that would sting but not harm. That figure is your tuition, and it's not a prediction of failure; it's what lets you trade without the desperation that guarantees it. A trader who cannot afford to lose their account will trade to avoid loss rather than to follow their plan, and that's a self-fulfilling problem.

When to go back to demo

Returning to demo is not failure — it's maintenance, and experienced traders do it. Go back if: you've breached your total-loss limit, your adherence has collapsed, you've been revenge trading, you're changing strategy repeatedly, or you're trading money you can't afford to lose. Stepping back costs you nothing but time. Continuing costs money you'll then need to earn twice.

Chapter 16 — What to take with you

- ☐ Demo at your real balance, real size, real routine — or it teaches nothing useful.
- ☐ Demo proves mechanics; live tests nerve. Expect a performance drop.
- ☐ Minimum size for 30 trades. Grade adherence, not profit.
- ☐ Price your tuition in advance so you can trade without desperation.



PART IV — GOING LIVE · CHAPTER SEVENTEEN

Your First 90 Days

A structured, week-by-week programme from complete beginner to first live trades — with defined outputs and honest gates you must pass to proceed.

Everything in this book, sequenced. This programme assumes roughly an hour a day on weekdays plus a longer weekend session. It deliberately does not put real money at risk until day 61 — and if you're not ready then, the correct answer is to repeat a phase rather than proceed on schedule.

Phase 1 – Foundation (Days 1–30)

WEEK	FOCUS	OUTPUT REQUIRED
Week 1	Chapters 1–4. Markets, mechanics, costs, brokers.	Chosen instrument and session, written down with the reasoning. Broker shortlist assessed against the Chapter 4 checklist.
Week 2	Chapters 5–6. Charts and structure.	Demo account open. 30 days of your instrument marked up by hand: structure, three key levels. The 50-candle exercise from Chapter 5 completed.
Week 3	Chapters 7–9. Indicators, timeframes, drivers.	Chart setup finalised — price, structure, maximum two indicators. Daily ten-minute morning routine started and logged.
Week 4	Chapters 10–11. Orders and risk.	Every order type placed on demo at least twice. Position size calculated correctly for ten hypothetical trades. Risk parameters written.

Gate 1: You can read your instrument's structure without hesitation, place any order type without looking it up, and calculate position size from stop distance in under a minute. If not, repeat week 4.

Phase 2 – Method (Days 31–60)

WEEK	FOCUS	OUTPUT REQUIRED
Week 5	Chapter 12. Strategy definition.	One written strategy — all six components, specific enough to hand to a stranger.
Week 6	Manual backtest.	50 backtested trades recorded in a spreadsheet with R results. Expectancy calculated.
Week 7	Chapters 13–15. Plan, psychology, journal.	Trading plan worksheet completed in full. Journal template set up and in use.
Week 8	Demo forward test begins.	Live demo trading at your real intended balance and size. Every trade journaled. Daily and weekly stops enforced.

Gate 2: Positive expectancy across at least 50 recorded trades, adherence above 90%, and you have sat through a four-loss streak without altering anything. If any is missing, extend Phase 2 — do not proceed on the calendar.

Phase 3 – Transition (Days 61–90)

WEEK	FOCUS	OUTPUT REQUIRED
Week 9	Fund the account. Stage 1 begins.	Capital confirmed disposable and tuition figure written down. Minimum position size only. First live trades journaled.
Week 10	Stage 1 continues.	Grade adherence only. Ignore P&L entirely — it is not the point at this size.
Week 11	Stage 1 completion, weekly reviews.	30 live trades at minimum size. Weekly review completed each week with one written intention.
Week 12	Assessment and Stage 2 decision.	Full monthly review. Compare demo expectancy to live expectancy — the gap is your psychology, quantified. Proceed to half size only if adherence held above 90%.

DRAWDOWN INSIGHT — WHAT SUCCESS LOOKS LIKE AT DAY 90

Not profit. At day 90 a successful outcome is: a functioning written plan, 80+ journaled trades, an adherence rate above 90%, no breach of your loss limits, and a live account that is roughly flat. If you're flat after 90 days having followed your process, you have comprehensively outperformed the typical beginner — who is, by that point, on their second deposit.

Realistic expectations for each phase

Days 1–30 will be information-heavy and occasionally tedious. That's correct. **Days 31–60** are where most people quit, because backtesting 50 trades by hand is genuinely boring and there's no dopamine in it. Doing it anyway is most of what separates the people who make it from the people who don't. **Days 61–90** will be emotionally harder than you expect at position sizes you'll consider trivial. That's the whole lesson.

After day 90

You're not finished — you're properly started. From here it's Stage 2 and Stage 3 of the transition protocol, monthly reviews, and the slow accumulation of a genuine sample. The next meaningful assessment point is around 200 live trades, which for most people is six months to a year away. That's the real timeline, and knowing it now protects you from the disappointment that ends most trading careers at month four.

Chapter 17 — What to take with you

- ☐ No real money before day 61. The gates matter more than the calendar.
- ☐ Most people quit during the backtesting weeks. Don't.
- ☐ Success at day 90 is flat with 90%+ adherence, not profit.
- ☐ The next real assessment is 200 trades away. Plan for that horizon.

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PART IV — GOING LIVE · CHAPTER EIGHTEEN

The Honest Chapter

The odds, the timeline, the real costs, and how to recognise when the right decision is to stop. The chapter nobody selling you a course will write.

Everything to this point has been how to trade. This chapter is about whether you should — and how to tell, honestly, whether it's working. It exists because the trading education industry has an obvious incentive not to write it, and because you deserve the information regardless.

The odds, stated plainly

The majority of retail accounts lose money. That figure is a regulatory disclosure, published by brokers themselves, and you can verify it on any authorised firm's website in thirty seconds. It is the most reliable statistic in this industry precisely because nobody selling anything wants it there.

What it does not mean is that skill is irrelevant or that success is impossible. What it does mean is that **the default outcome is loss**, and that avoiding the default requires doing things most participants demonstrably do not do: sizing small, following a written plan, keeping records, waiting, and persisting across a timeline measured in years rather than months.

The real timeline

PERIOD	WHAT IS REALISTICALLY HAPPENING
Months 1–3	Learning mechanics. You should expect to lose money, and the goal is to lose a small, controlled amount while building habits.
Months 4–12	Building a sample and confronting your own psychology. Most people quit here, or blow up and restart. Consistency of process, not profit, is the marker.
Year 2	If you're still here with records: this is where genuine competence typically starts appearing, and where you can first make a data-based judgement about whether you have an edge.
Year 3+	Where meaningful returns become plausible for those who make it — and where the constraint shifts from skill to capital.

WARNING — THE CAPITAL REALITY

Even genuine skill produces modest absolute returns on a small account. A trader making a consistent 2% a month on £5,000 is making £100 — an excellent result in percentage terms and irrelevant as income. Trading well and earning a living from trading are separated by a large amount of capital. Anyone implying otherwise is selling something.

The costs nobody itemises

Beyond the money: significant time (the 90-day programme alone is over 100 hours, and that's the beginning), genuine emotional strain, opportunity cost — those hours invested in a business, a qualification or a career often produce a more reliable return — and a real relationship cost if you let it consume your attention. These are legitimate costs to weigh, not reasons not to start.

How to know if it's working

Not by your P&L over weeks — that's mostly noise. Judge by these, in order:

- **Adherence rate.** Above 90% across a large sample means you're building the only thing that compounds. Below 70% means you don't yet have a process, whatever your P&L says.
- **Expectancy across 100+ trades.** Positive and stable, or trending down?
- **Drawdown behaviour.** Do you follow your plan during losing streaks, or change everything?
- **Trajectory.** Are your mistakes getting smaller and less frequent over time? That's progress even while flat.

When stopping is the right decision

There is no shame whatsoever in concluding this isn't for you. It's an unusual activity requiring an unusual temperament, and choosing not to pursue it is a legitimate, intelligent decision — not a failure. Stop, at minimum temporarily, if any of the following is true:

SIGNAL	WHY IT MEANS STOP
You're trading money you can't afford to lose	Non-negotiable. Stop immediately. Desperation makes disciplined trading impossible and the outcome nearly certain.
You've deposited more than your tuition figure	You set that number while calm and rational. Overriding it while losing is exactly the decision it existed to prevent.
Adherence isn't improving after 100+ trades	The problem isn't knowledge — it's fit. More study won't address it.
It's affecting sleep, work or relationships	The cost has exceeded any plausible benefit. This one is easy to rationalise and shouldn't be.
You're chasing losses or hiding them	Concealing trading losses from people close to you is a recognised warning sign. Stop and speak to someone.
You can't stop when you plan to	If you consistently cannot enforce your own limits, the relationship with trading has become compulsive rather than professional. Support is available and worth seeking — organisations such as GamCare offer free, confidential help in the UK.

DRAWDOWN INSIGHT — THE MOST VALUABLE OUTCOME

If this book leads you to conclude, calmly and early, that trading isn't for you — that's a genuinely excellent result. You'll have spent a small amount to avoid a large one, and gained a real understanding of markets, risk and your own decision-making that transfers to everything else you do. Not every path needs to end in a funded account to have been worth walking.

Chapter 18 — What to take with you

- ☐ The default outcome is loss. Avoiding it requires doing what most don't.
- ☐ The timeline is years. Judge by adherence and expectancy, not weekly P&L.
- ☐ Trading well and earning a living from it are separated by capital.
- ☐ Stopping is a legitimate, intelligent decision — not a failure.

PART IV — GOING LIVE • CHAPTER NINETEEN

Treating It Like a Business

Records, costs, tax awareness, capital, and the paths that open once you can demonstrate consistency.

The moment you treat trading as a business rather than a hobby with money attached, most of the sensible decisions become obvious. Businesses track costs, keep records, plan for tax, measure performance against process, and think in years. Hobbies do none of that — which is broadly why hobbyist traders lose.

Records – keep them from day one

Beyond your trading journal, maintain a simple business record: every deposit and withdrawal with dates, all costs (spreads, commissions, financing, data, tools, education), monthly P&L, and end-of-year statements from your broker. Retrofitting this after two years of activity is miserable, and it's exactly when you'll need it.

Tax – the honest position

Tax treatment of trading depends on the product you use, your personal circumstances, your other income, and current legislation — all of which vary and change. Different products are treated differently in the UK, and the distinctions matter financially.

This book cannot tell you your tax position, and nor can a forum. What you should do: keep complete records from the start, understand which product you're actually trading, and speak to a qualified accountant — ideally one with experience of traders — before your first tax year ends. That conversation typically costs less than one badly-sized trade and removes an entire category of future problem. Check current guidance directly with HMRC rather than relying on secondhand summaries, including this one.

WARNING

Nothing in this book is tax or financial advice. Rules change and individual circumstances differ enormously. Verify everything with HMRC or a qualified professional before making decisions.

Costs – measure them properly

Total your annual costs and express them as a percentage of your account. Spreads and commissions across every trade, overnight financing, data subscriptions, tools, education. For an active trader on a small account this figure is frequently shocking — and it's the return you must generate before you make a single pound. If costs represent 15% of your account annually, you need 15% just to break even. That calculation alone often changes how frequently people trade, which is usually an improvement.

Capital – the constraint nobody mentions

Skill and capital are separate problems, and beginners conflate them constantly. Once you're consistently competent, your returns are limited by capital, not ability — and there are only three honest routes forward: build capital from other income and add it gradually, compound slowly over years, or trade someone else's capital via a funded-trader programme.

That third route is why prop firms exist and why they've become popular. They allow demonstrated skill to be applied to meaningful capital without personal wealth. They also have their own rules, risks and failure modes — that's an entire subject in itself, and one worth studying properly before paying an evaluation fee.

DRAWDOWN INSIGHT – WHAT YOU'RE ACTUALLY BUILDING

The asset isn't your account balance — accounts can be lost. The asset is the machine around it: a validated strategy, a written plan, a documented track record, and demonstrated discipline. That machine survives any single account, any bad month, any firm. It's also the only thing that opens doors later. Build the machine and the account becomes replaceable.

Thinking in years

Almost every catastrophic trading decision comes from compressing time — needing this trade, this week, this month to deliver something. Stretch the horizon to three years and the correct behaviour becomes obvious and easy: small risk, boring consistency, rigorous review, survival above all. The paradox is that traders who stop needing fast results are the ones most likely to get good ones.

What comes next

You now have the complete foundation: how markets work, how to read them, how to manage risk, how to build and test a strategy, how to handle yourself, and a structured 90-day path. What you don't have yet is a sample — and nothing substitutes for that. The work from here is unglamorous and repetitive: execute your plan, journal every trade, review weekly, improve one thing at a time, and stay solvent while your skill catches up with your understanding.

That's the entire game. It's slower than anyone promised you and more achievable than the statistics suggest — provided you're one of the few who actually does the boring parts.

Chapter 19 – What to take with you

- ☐ Keep business records from day one. Retrofitting is miserable.
- ☐ Speak to a qualified accountant before your first tax year ends.
- ☐ Calculate annual costs as a % of account — that's your break-even hurdle.
- ☐ Skill and capital are separate problems. Build the machine, not the balance.



THE TOOLKIT

References, Worksheets & Trackers

Print these. Use them in ink. Everything here has appeared in the chapters — this is the working set, gathered in one place.

Order type quick reference

ORDER	SITS WHERE	FILLS HOW	USE FOR
Buy market	Now	Immediately, at best available	Immediate entry; accept slippage
Buy limit	BELOW price	At your price or better	Buying a pullback into support
Buy stop	ABOVE price	Market order once triggered	Breakout entry above resistance
Sell limit	ABOVE price	At your price or better	Selling a rally into resistance
Sell stop	BELOW price	Market order once triggered	Breakdown entry below support
Stop loss	Beyond invalidation	Market once triggered — gaps possible	Every single trade
Take profit	At target	At your price or better	Removing the exit decision
Trailing stop	Follows price	Market once triggered	Protecting gains in a trend
Guaranteed stop	Beyond invalidation	Exactly at your level, for a premium	Material gap risk

THE MEMORY AID

Limit orders want a better price — buy limits sit below, sell limits sit above. **Stop orders want confirmation** — buy stops sit above, sell stops sit below. If your order is rejected, you almost certainly have these the wrong way round.

Position sizing tables

Cash at risk per trade. Position size is then that figure divided by your stop distance.

Pre-trade checklist

Run this before every single trade. If any box is unticked, there is no trade.

- ☐ My higher-timeframe context supports this direction.
- ☐ This is one of my written setups — I can name it.
- ☐ All setup conditions are present. Not most of them. All.
- ☐ I know exactly where I am wrong, and it is based on structure.
- ☐ My target is at a logical level and the reward meaningfully exceeds the risk.
- ☐ Position size calculated from risk ÷ stop distance — not chosen.
- ☐ No high-impact news due within my holding window.
- ☐ I am not in a no-trade condition (post-daily-stop, tired, emotional, distracted).
- ☐ This position is not simply a duplicate of correlated exposure I already hold.
- ☐ I can state my reason for entry in one sentence, right now, before entering.

Broker assessment checklist

- ☐ Authorisation verified directly on the regulator's public register — not the firm's website.
- ☐ I know which legal entity holds my account and in which jurisdiction.
- ☐ Client money segregation and negative balance protection confirmed in writing.
- ☐ Full cost schedule understood: spread, commission, overnight financing, conversion, inactivity.
- ☐ Overnight financing rates checked for the instruments I intend to hold.
- ☐ Withdrawal process, timescales and fees confirmed before depositing.
- ☐ Platform tested on demo including during a volatile session and on mobile.
- ☐ Typical spreads observed at my actual trading times, not headline rates.
- ☐ Support tested with a specific pre-deposit question and gave a specific answer.

90-day programme tracker

MILESTONE	TARGET	DONE
Instrument & session chosen	Week 1	
Broker assessed, demo open	Week 2	
Chart setup finalised, morning routine running	Week 3	
All order types practised, sizing fluent	Week 4 — Gate 1	
Strategy written, six components	Week 5	
50 backtested trades, expectancy calculated	Week 6	
Trading plan complete, journal running	Week 7	
50 demo trades, 90%+ adherence, streak survived	Week 8 — Gate 2	
Account funded, tuition figure written	Week 9	
30 live trades at minimum size	Weeks 10–11	
Full review; demo vs live expectancy compared	Week 12	

Glossary

Ask / offer	The price at which you can buy. Always higher than the bid.
Bid	The price at which you can sell.
Break-even stop	Moving your stop to your entry price so the trade can no longer lose.
CFD	Contract for difference — an agreement to exchange the difference in an asset's price between opening and closing a position.
Divergence	Price makes a new extreme but an indicator does not, suggesting weakening momentum.
Drawdown	The decline from a peak in account value to a subsequent low.
Expectancy	The average value of one trade: $(\text{Win\%} \times \text{avg win}) - (\text{Loss\%} \times \text{avg loss})$.
Gap	Price opening at a materially different level from the previous close, skipping the prices between.
Leverage	Controlling a position larger than your deposit. Magnifies profit and loss identically.
Liquidity	How easily an instrument can be traded without moving its price.
Long	A position that profits if price rises.
Lot	A standardised position size in forex. Standard = 100,000 units; mini = 10,000; micro = 1,000.
Margin	The deposit required to hold a leveraged position — your collateral, not a fee.
Margin call	A demand for additional funds when losses erode the margin supporting your positions.
Overnight financing	A daily charge (or occasionally credit) for holding leveraged positions overnight. Also called swap or rollover.
Pip	The standard smallest quoted move on most currency pairs — typically the fourth decimal place.
R / R-multiple	A result expressed as a multiple of the amount risked. Risking £50 to make £150 is 3R.
Resistance	An area where selling has repeatedly halted advances.
Risk of ruin	The probability that ordinary variance exhausts your capital before your edge can pay you.
Short	A position that profits if price falls.
Slippage	The difference between the price you expected and the price you received.
Spread	The gap between bid and ask — a cost paid on every trade.
Spread betting	A leveraged product where you stake an amount per point of price movement.
Support	An area where buying has repeatedly halted declines.
Swing high / low	A local peak or trough in price, used to define market structure.
Tick	The smallest price increment a futures contract permits.

Tilt	The state of trading your emotions rather than your plan.
Volatility	The size and speed of price movement. Higher volatility means wider stops and smaller positions.

Keep going with Drawdown

This book gives you the foundation and a 90-day path. Drawdown exists to help you execute it — structured education, tools and a community built on exactly the principles in these pages: risk first, process over outcome, consistency over intensity.

PLAN	BUILT FOR
Foundation £49/mo	Working through the 90-day programme — structured education, core tools and the discipline framework in depth.
Edge £149/mo	Validating and executing a strategy — advanced content, performance tooling and structured review.
Floor £299/mo	Traders running this as a business.

Start at drawdown.trading · X: [@drawdown_hq](https://twitter.com/drawdown_hq)

Protect your capital. Follow your plan. Keep the records.
Everything else is a by-product of staying in the game.

DRAWDOWN

Trading leveraged products carries a high risk of losing money rapidly, and the majority of retail investor accounts lose money. This book is educational material only and is not investment, tax or financial advice. No outcome is promised or implied. Consider seeking regulated advice before trading. If trading is causing you harm, free confidential support is available in the UK from GamCare. © 2026 Drawdown · drawdown.trading